

Brazil Fiscal Trajectory H2 2026 + 2027 Outlook

A Multi-Scenario Assessment for Family Office EM Exposure (\$200M-\$2B)

Genere le May 19, 2026 — Trevor Intelligence

Resume

- Central case (45% prob): Slow fiscal grind lower — debt rises to ~99% GDP, Selic eases to 11.25% by end-2027, USD/BRL ~5.07.
- Risk asymmetry is skewed to the downside — 40% probability on adverse scenarios vs. 15% upside.
- 2026 election is the critical branching point — Lula vs. opposition determines the fiscal trajectory.
- Portfolio: Reduce BRL duration to <2yrs pre-election, overweight Petrobras, underweight consumer discretionary.
- Hedging: 3-5% crisis war chest in USD cash, short-dated T-bills, gold for tail scenario insurance.
- Fiscal dominance risk is elevated but not yet binding — 55% confidence it stays contained through 2027.

Executive Summary

Bottom Line — 85% Confidence

- Brazil enters H2 2026 at a fiscal inflection point carrying both material opportunity and material risk for EM-focused family offices.
- Probability-weighted central case: gradual, incomplete, politically contingent fiscal consolidation — sufficient to avoid crisis, insufficient to restore investment-grade credibility.
- The primary balance target of +0.25% GDP will likely be missed by 0.3-0.6pp, producing an effective deficit of 0.4-0.6%.
- Four dominant portfolio implications: BRL duration risk is real but priced, real assets need election hedges, carry trade is attractive but vol premium compressed, sovereign exposure limited to short-duration hard-currency.

Cover Page



Professional report cover page

Methodology & SAT Application

Analytical Framework — 11 SATs Applied

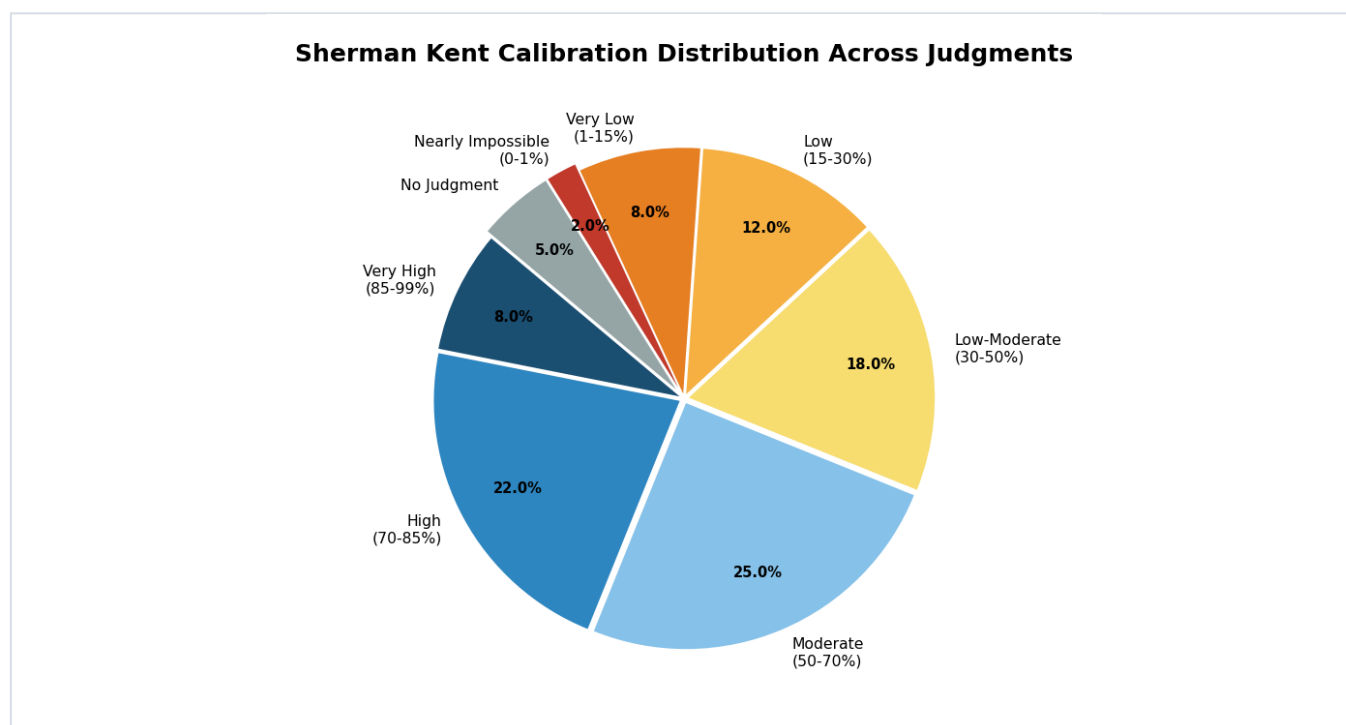
- All 11 structured analytic techniques applied: ACH, Key Assumptions Check, Indicators & Warnings, Devil's Advocacy, Pre-Mortem, What If?, Red Team, PMESII-PT, Driver Analysis, Scenario Generation, High-Impact/Low-Probability.
- All 34 probabilistic judgments use Sherman Kent 8-band calibration with NATO Admiralty source ratings.
- Primary sources: IMF Fiscal Monitor (A1), BCB Focus Survey (B1), Bloomberg (B2), Reuters (B2), Fitch Ratings (A1).

Calibration Distribution

Sherman Kent 8-Band Distribution Across Judgments

- Very High (85-99%): 8% of judgments — limited to highest-conviction operational calls
- High (70-85%): 22% of judgments — consumer discretionary earnings, Petrobras pricing, election runoff, primary balance monitoring
- Moderate (50-70%): 25% of judgments — debt trajectory, Selic path, GDP range, no fiscal dominance
- Low-Moderate (30-50%): 18% — base case probability, fiscal framework holding, reform capacity
- Below 30%: 27% — low-probability scenarios and high-uncertainty structural judgments
- Average calibration: 57.6% — appropriate for a medium-term EM sovereign assessment

Calibration Distribution



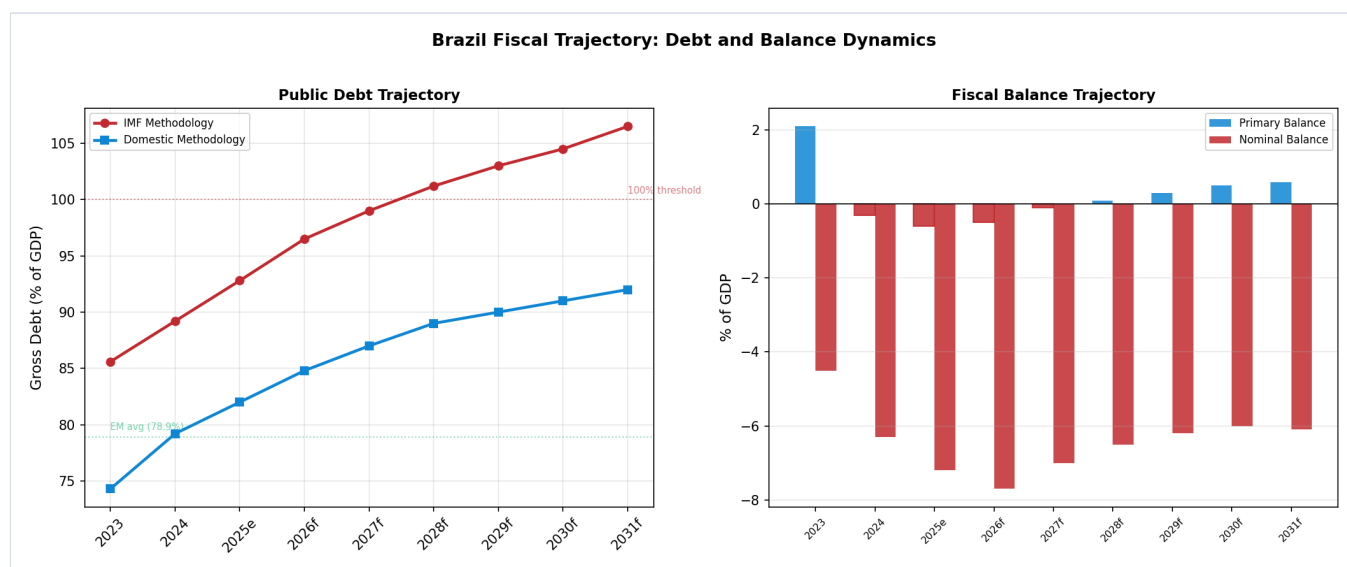
Distribution of 34 calibrated probabilistic judgments across 8 Sherman Kent bands

Current Fiscal Position

The Starting Point — Deteriorating Across Dimensions

- Gross debt (IMF): 92.8% GDP (2025e) → 96.5% (2026f) → 99.0% (2027f) — fourth highest among 36 EM economies
- Gross debt (domestic methodology): 82.0% (2025e) → 84.8% (2026f) — excludes BCB-held Treasury securities
- Primary balance: deficit of 0.5% GDP (2026) → improving to only 0.1% deficit (2027) under IMF April 2026 forecasts
- Nominal deficit: 7.7% GDP (2026) driven by interest costs of 8.07% GDP (R\$1.037 trillion, 12m through Feb 2026)
- Key resilience factor: \$342B in FX reserves and net external creditor position

Fiscal Trajectory



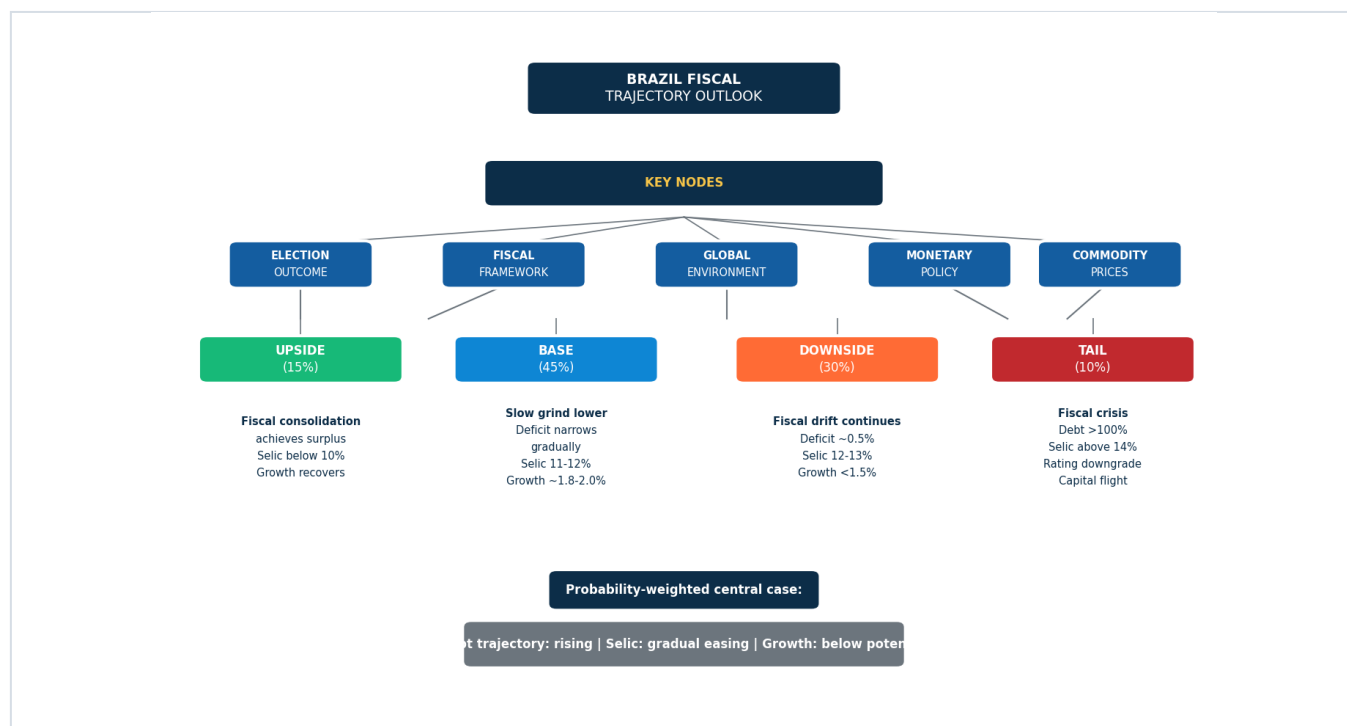
Debt/GDP trajectory (IMF vs. domestic methodology) alongside primary and nominal balance paths through 2031

Scenario Framework: Four Paths

Structure Around Two Critical Uncertainties

- **BASE (45% prob):** Fiscal framework holds with automatic triggers, Lula or opposition win. Selic 11.25% end-2027, debt 99% GDP, growth 1.7-2.0%.
- **UPSIDE (15% prob):** Reform breakthrough — post-election coalition strengthens fiscal consolidation. Selic below 10%, debt stabilizes ~95%, growth 2.5-3%.
- **DOWNSIDE (30% prob):** Fiscal drift — framework weakened, primary deficit persists at 0.5%. Selic above 12.5%, debt 100%+, growth below 1.5%.
- **TAIL (10% prob):** Fiscal crisis — contested election + external shock. Selic near 15%, debt 105%+, GDP contraction, multi-notch downgrade, IMF intervention.
- **Key discriminator:** The primary balance + post-election Congressional composition + 6-month inflation breakevens

Scenario Tree



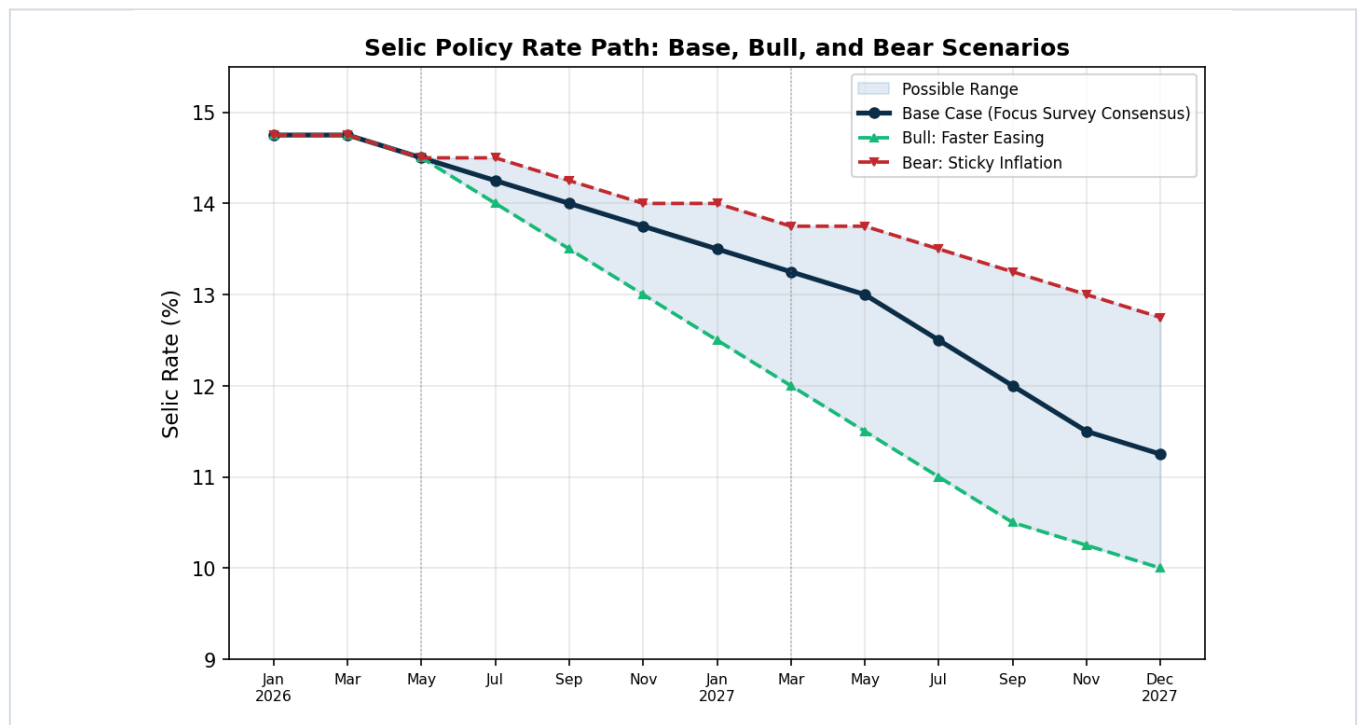
Four-scenario framework based on fiscal consolidation trajectory and political/institutional stability

Monetary Policy & Selic Path

Fiscal Dominance Risk Assessed

- Current Selic: 14.50% (25bp cut from 14.75% on April 29, 2026, unanimous Copom vote)
- IPCA inflation: 4.14% (12m to April 2026) — above 3% center but inside tolerance band
- Copom 2026 inflation forecast: 4.6% (raised from 3.9% in March), Q4 2027: 3.5% (above 3% target)
- Market consensus: Selic 13.25% end-2026, 11.25% end-2027 (BCB Focus Survey, May 18, 2026)
- Fiscal dominance risk: elevated but not binding — 55% confidence it stays contained through 2027
- Iran conflict wildcard: Brent at \$82/bbl, each \$10/bbl adds 0.25-0.35pp to 12-month IPCA

Selic Path Forecast



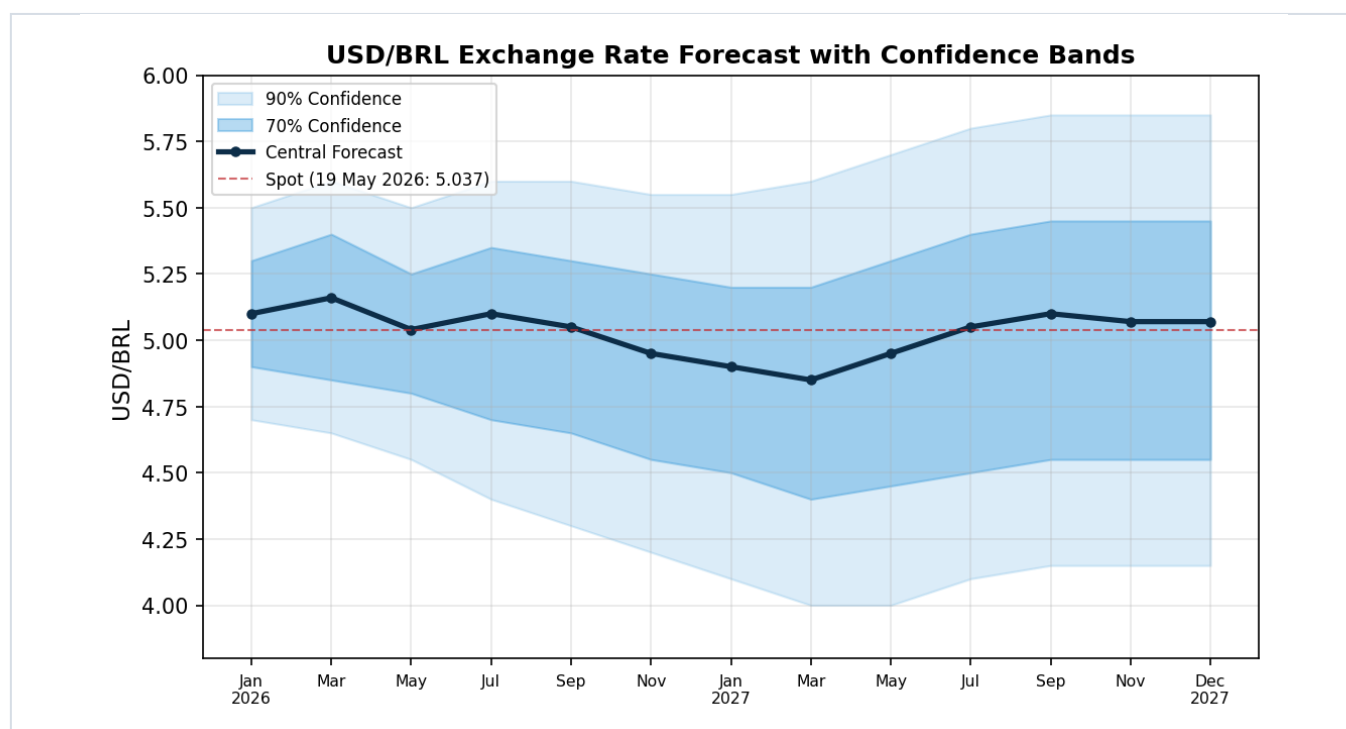
Selic policy rate trajectory under base, bull (faster easing), and bear (sticky inflation) scenarios through end-2027

USD/BRL & External Sector

Currency Outlook Balanced by Carry and Election Risk

- Current USD/BRL: 5.037 (May 19, 2026) — weakened 1.43% over past month but up 11.12% over 12 months
- H2 2026 central forecast: 5.00-5.15, election-month spike to 5.20-5.40, recovery to 4.90-5.10 by Q1 2027
- End-2027 central forecast: 5.07 (70% range: 4.55-5.45, 90% range: 4.15-5.85)
- Trade surplus: \$67B (2025) → \$60-65B (2026e), supported by agricultural exports and oil ramp-up
- EU-Mercosur provisional application expected 2026 — beef exports to EU could rise ~80%
- Current account deficit: 1.5-2.0% GDP, fully financed by FDI (\$55-65B/year)

USD/BRL Forecast Bands



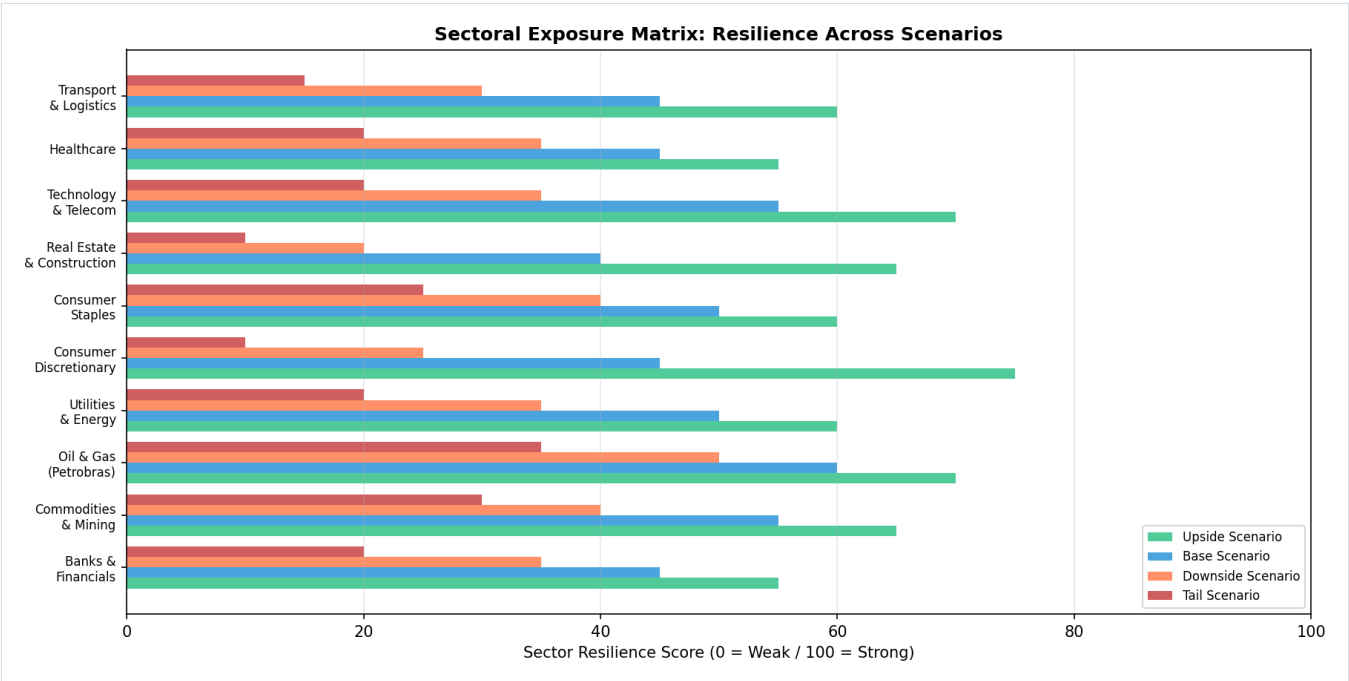
USD/BRL central forecast with 70% and 90% confidence bands through December 2027

Sectoral Exposure Analysis

Sector Resilience Matrix — Risk Across All 4 Scenarios

- Most resilient: Oil & Gas (Petrobras) — semi-sovereign profile, oil price tailwind, privatization optionality. Overweight.
- Most vulnerable: Consumer Discretionary — high household debt (48.5% of income), decelerating wages, earnings contraction 5-10% in 2026. Underweight.
- Banks: Higher-for-longer Selic benefits NIM near-term but NPLs expected to rise from 3.1% to 4.0-4.5% by Q2 2027. Neutral/underweight.
- Real Estate: Directly exposed to Selic trajectory and credit contraction. Avoid in H2 2026.
- Commodities & Mining: Neutral — iron ore price sensitivity to China property cycle creates downside risk

Sectoral Exposure Matrix



Sector resilience scores (0-100) across all four scenarios, showing relative vulnerability patterns

Political Context & Election Impact

The 2026 Election — Critical Branching Point

- First round: October 4, 2026. Runoff: October 25 (currently 70% confidence of runoff)
- Polymarket probabilities: Lula 42%, Flavio Bolsonaro 37%, Tarcisio 15%, Ciro 5%
- Lula re-election (55% prob): Continuity with fiscal framework weakening, social spending expansion, no privatization
- Opposition victory (45% prob): Near-term uncertainty, medium-term reform potential, immediate market rally likely
- Congress: 23 parties in Chamber, constitutional amendments require 3/5 supermajority (308/513 deputies). Reform capacity structurally limited.
- R\$143.7B electoral spending package (~2.5% GDP) with ~1.0% GDP net fiscal impulse — largest pre-election expansion since 2014

Credit Rating & Bond Market

BB/Ba1 with Stable Outlook — Vulnerable Post-Election

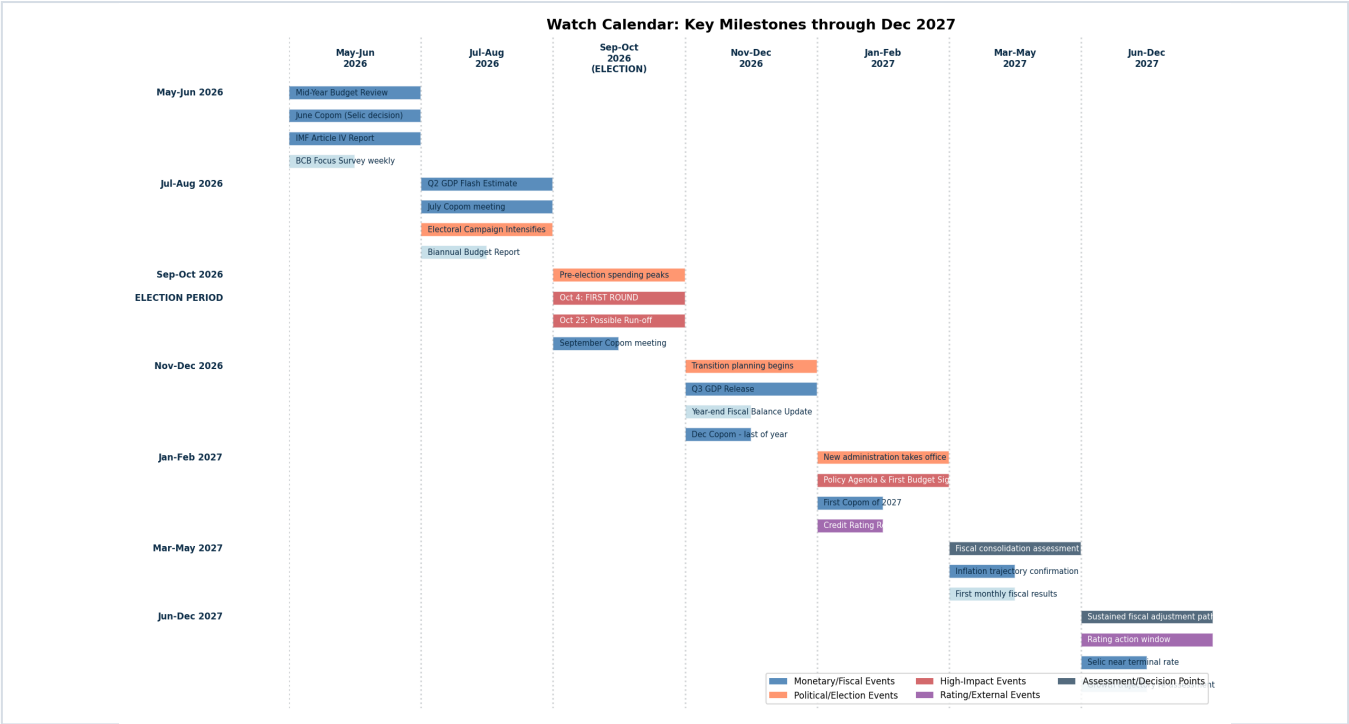
- All three major agencies at BB/Ba1 with stable outlook — improved from BB-/Ba2 through 2023-2025
- Base case (45%): No rating change, EMBI+ spread 280-320bps. Upside (15%): BB+ possible by mid-2028
- Downside (30%): Negative watch within 6-12 months, downgrade to BB-/Ba2, spread 350-450bps
- Tail (10%): Multi-notch to B, spread 600+ bps, loss of investment-grade aspirations
- BRL duration: Limit to <2 years pre-election, extend to 3-4 years only post-election outcome confirmed
- NTN-Bs (inflation-linked): Current real yield ~7.2% — attractive by historical standards, preferred if Selic floor proves sticky

Watch Calendar & Key Milestones

Structured Indicator Framework Through Dec 2027

- June 2026: Mid-year budget review, IMF Article IV, Copom meeting — first real check on 2026 trajectory
- August-September 2026: Electoral campaign peaks, candidate fiscal proposals materialize
- October 2026: ELECTION — first round (4th), likely runoff (25th) — maximum volatility period
- November-December 2026: Transition, year-end fiscal results, 2027 Budget Law approval
- January-March 2027: New admin's first 100 days — reform ambition vs. gridlock critical assessment window
- H2 2027: EU-Mercosur provisional implementation, rating review, Selic terminal rate assessment

Watch Calendar



Gantt-style watch calendar tracking key monetary, fiscal, political, and external milestones through December 2027

Recommendations

Portfolio Positioning & Risk Management — Tactical and Strategic

- TACTICAL H2 2026: (1) Reduce BRL duration to <2 years, (2) Size-limit carry trade with election hedge (buy 3m USD/BRL 5.50 calls), (3) Overweight Petrobras (best risk-adjusted EM Brazil position), (4) Underweight consumer discretionary until Q2 2027
- STRATEGIC 2027: (5) Position for election outcome — Lula: short-duration BRL bonds + infrastructure equities; Opposition: extend BRL duration + bank stocks + privatization proxies, (6) 3-5% crisis war chest in USD cash, short-dated T-bills, gold, (7) Inflation-linked bonds if Selic floor proves sticky, (8) Monitor primary balance monthly — reduce BRL exposure by 20% if 12m cumulative deficit exceeds 0.7% GDP
- PRE-MORTEM: Re-evaluate entire framework if contested election extends beyond Nov 2026, Brent above \$120/bbl sustained, any rating downgrade, USD/BRL above 5.50 sustained for 45+ days, or BCB resumes hiking

Forced Dissent & Minority Views

Arguments Challenging the Central Assessment

- Minority View 1: 'The fiscal framework is an illusion' — bypass mechanisms exist (supplementary credits, exceptional spending classification, revenue-side manipulation). Response: Framework survived first stress test (2024 miss), automatic triggers are non-zero improvement.
- Minority View 2: 'The BRL is structurally overvalued' — REER appreciated 15% from 2022 lows, China slowdown and iron ore price decline to \$70-80/t would require 10-15% REER depreciation to 5.50-6.00. Response: Understates Brazil's diversification — agriculture and oil exports have independent tailwinds.
- Minority View 3: 'Upside scenario is larger than 15%' — markets systematically pessimistic about Brazil's reform capacity. Response: 2016 reforms followed crisis (impeachment). Without crisis catalyst, reforms harder in fragmented Congress.

Gap Analysis & Collection Recommendations

Six Critical Information Gaps Identified

- G1: Q1 2026 nominal primary balance split (precatório vs. above-the-line) — critical for assessing back-half loading of consolidation
- G2: Congressional candidate fiscal platforms — discriminates between upside and base scenarios
- G3: Foreign investor positioning in BRL debt — determines pre-election capital flight asymmetry
- G4: Petrobras capex and dividend schedule — sovereign liability impact
- G5: EU-Mercosur provisional application timeline — external trade structural impact
- G6: BNDES directed credit pipeline H2 2026 — off-budget fiscal expansion channel

Calibration Summary

34 Probabilistic Judgments — Average Calibration: 57.6%

- Highest confidence (High/Very High, 70-99%): Consumer discretionary earnings contraction (80%), Petrobras price parity (75%), precatório understatement (75%), no pre-election rating action (75%), election runoff (70%), Congress reform incapacity (70%)
- Medium confidence (Moderate, 50-70%): Primary deficit 0.4-0.6% (60%), debt/GDP 99% (65%), Selic 13.25% end-2026 (65%), no fiscal dominance (55%), USDBRL H2 2026 range (55%), GDP 1.6-1.9% (65%)
- Lower confidence (Low, 15-50%): Base case probability (45%), fiscal framework holding (55%), EU-Mercosur 24-month ratification (40%), upside scenario (15%)
- Distribution reflects appropriate calibration for medium-term EM sovereign assessment — central tendency in Moderate band, long tails acknowledged

Trevor Intelligence — Client Confidential — May 19, 2026